

BEFORE THE FEDERAL MARITIME COMMISSION

FMC Agreement No. 201349,

World Shipping Council Agreement,

A Cooperative Working Agreement

DOCKET NO. 25-10

**RESPONSE OF THE WORLD SHIPPING COUNCIL
TO ORDER TO SHOW CAUSE**

Pursuant to 46 CFR § 502.91, the World Shipping Council (“WSC”) hereby replies to the Federal Maritime Commission’s (the “FMC” or the “Commission”) Order Directing WSC to Show Cause as to why:

1. The Commission has jurisdiction over WSC’s Agreement filed with the Commission; and
2. The Commission should not cancel the Agreement as outside of the Commission’s jurisdiction under 46 U.S.C. § 40301(a).

I. Preliminary Statement

Pursuant to 46 U.S.C. § 40301(a)(5), WSC filed an agreement with the Commission on October 1, 2020, labeled a “cooperative working agreement,” which became effective on November 15, 2020 (“Agreement”). WSC filed this Agreement because its ocean carrier members desired that WSC expand its work from traditional trade association advocacy to also include cooperative activities relating to and affecting ocean transportation, particularly in areas where the industry decided it needed to work together to tackle challenges and drive solutions for issues not otherwise addressed by governments under existing laws and regulations. For example, among other activities carried out through WSC under its Agreement, its members

have worked together to implement solutions on matters such as (i) the need to reduce shipboard fires—which occur almost every 60 days due to mis- or un-declared dangerous or hazardous cargo—through the development of a cargo screening program; (ii) reducing illicit trafficking of narcotics and supply chain theft by cooperating with law enforcement authorities such as U.S. Customs and Border Protection; and (iii) identifying the root causes of containers lost at sea to aid in protection of seafarers and the marine environment.

The U.S. Shipping Act, as amended (“Act”), requires that cooperative working arrangements between or among two or more common carriers be filed, and thus the filing was made to ensure that WSC was in full compliance with the Act. The Commission gave WSC its full support for such filing.

The cooperative activities that the WSC members have undertaken pursuant to the Agreement have since been subject to substantial Commission oversight, reflecting a mutually beneficial dynamic between WSC and the Commission as the Commission receives visibility into ocean transportation related activities conducted by WSC while WSC benefits from the Commission’s valuable regulatory inputs. From before the Agreement was filed and for nearly five years after, the Commission never raised any jurisdictional questions. Both the Commission and courts, as discussed below, have traditionally interpreted the Commission’s jurisdiction relating to cooperative working agreements broadly, but the Commission’s preliminary position in the Order posits a considerably narrower view of that jurisdiction. Should the Commission decide to adopt this narrower viewpoint out of step with existing precedent, it risks losing visibility into the Agreement and by extension its ability to exercise any oversight of activities undertaken by WSC’s members inextricably intertwined with ocean transportation that are currently conducted pursuant to this Agreement.

As this represents the first time the Commission has raised questions relating to its jurisdiction over the Agreement, and to provide context for the Agreement itself, WSC provides a history of the organization, the reasons that led to filing the Agreement in October 2020, and a summary of WSC cooperative activities and Commission oversight over such activities since that time. WSC also provides a summary of relevant judicial and Commission case law addressing how the courts and the Commission have historically interpreted cooperative working agreements broadly, including distinguishing WSC from a number of decisions that appear to have led the Commission to question its jurisdiction over the Agreement.

Most critically, the Commission's Order misapplies existing precedent as relates to the relevant jurisdictional assessments pursuant to 46 U.S.C. § 40301(a), and does not provide any support for its narrow interpretation of the elements within this statutory provision. As the U.S. Supreme Court, the U.S. Court of Appeals for the D.C. Circuit, and the Commission itself have found in applying 46 U.S.C. § 40301(a), the relevant jurisdictional inquiries are whether the agreement in question is (i) continuous in nature, (ii) among entities regulated by the Commission (i.e., ocean common carriers), and (iii) concerns cooperation between such entities relating to ocean transportation. The Agreement meets each criterion.

As further discussed below, (i) the Agreement addresses a host of matters that are continuous in nature, as exemplified by the Commission's robust monitoring of WSC activities, (ii) WSC members are vessel operating common carriers acting in their regulated capacity as defined by the Act, and (iii) myriad matters within WSC's operations specifically relate to ocean transportation, including the carriage of cargo, ensuring safety onboard vessels, and transiting international trade lanes. By virtue of the types of cooperation contained in the Agreement, it is most appropriately characterized as a "cooperative working agreement" under relevant judicial

and Commission precedent and text of the statute. The Commission therefore has jurisdiction over the Agreement.

II. Summary of U.S. Shipping Act Agreement Filing Requirements and Commission Review of Filed Agreements

The Act requires that certain agreements between or among vessel-operating common carriers be filed with the FMC.¹ The types of agreements that the Act requires to be filed are those that authorize the parties to undertake any of the following activities:

- (1) discuss, fix, or regulate transportation rates, including through rates, cargo space accommodations, and other conditions of service;
- (2) pool or apportion traffic, revenues, earnings, or losses;
- (3) allot ports or regulate the number and character of voyages between ports;
- (4) regulate the volume or character of cargo or passenger traffic to be carried;
- (5) engage in an exclusive, preferential, or cooperative working arrangement between themselves or with a marine terminal operator;
- (6) control, regulate, or prevent competition in international ocean transportation; or
- (7) discuss and agree on any matter related to a service contract.

46 U.S.C. § 40301(a).

The Act requires that a true copy of an agreement between two or more ocean common carriers that contain any of the above authorities be filed with the FMC. 46 U.S.C. § 40302. Not later than seven days after the date an agreement is filed, the Commission must: (1) transmit a notice of the filing to the Federal Register for publication; and (2) request interested persons to submit relevant information and documents. 46 U.S.C. § 40304(a). Under the Act, “[a]fter

¹ Marine terminal operators are subject to similar filing requirements.

preliminary review, the Commission shall reject an agreement that it finds does not meet the requirements of Sections 40302 (filing requirements) or 40303 (content requirements) of Title 46 United States Code, and the Commission shall notify in writing the person filing the agreement of the reason for rejection.” 46 U.S.C. § 40304(b). *See also* 46 C.F.R. §§ 535.402 (complete and definite agreements) and 535.403 (form of agreements). This would presumably include a threshold review over whether the Commission has jurisdiction over the filed agreement. *See* 46 C.F.R. § 535.601 (stating the Commission “shall make a preliminary review of each filed agreement to determine whether the agreement is in compliance with the requirements of the Act”).

If not rejected pursuant to 46 U.S.C. § 40304(b) and the Commission’s regulations prescribing the form of agreements, filed agreements generally go into effect 45 days after filing or, if the Commission requests further information, 45 days after the further information is provided. 46 U.S.C. § 40304(c), (d). If the Commission believes the agreement is “likely, by a reduction in competition, to produce an unreasonable reduction in transportation service or an unreasonable increase in transportation cost or to substantially lessen competition in the purchasing of certain covered services,” the Commission may bring a civil action in the United States District Court for the District of Columbia to enjoin the operation of the agreement. 46 U.S.C. § 41307(b)(1). Absent seeking and obtaining such injunctive relief, as the Commission notes in the Order, the Agreement goes into effect by operation of law, but the Commission retains the authority to seek injunctive relief under this standard following effectiveness of the agreement. *Id.*

III. Summary of Judicial and Commission Precedent Regarding Agreement Filings

As noted in the Order, WSC filed its Agreement pursuant to 46 U.S.C. § 40301(a)(5) as a “cooperative working agreement” (“CWA”). WSC has not and does not undertake any activities described in 46 U.S.C. § 40301(1), (2), (3), (4), (6), or (7).

What constitutes a CWA is not defined by the Act. *See* 46 U.S.C. § 40301(a)(5). The FMC’s regulations define a CWA as “an agreement which establishes exclusive, preferential, or cooperative working relationships which are subject to the Shipping Act of 1984, but which do not fall precisely within the arrangements of any specifically defined agreement.” 46 C.F.R. § 535.104(i). The Commission’s definition therefore does not provide additional guidance as to the scope of the term beyond the language in the Act. Judicial and Commission precedent have, however, broadly interpreted the scope of the term.

The Supreme Court has held that Section 15 of the Shipping Act of 1916 (the predecessor to current statutory provision regarding CWAs), was broadly drafted and therefore should not be given an unduly narrow interpretation. *See Volkswagenwerk v. FMC*, 390 U.S. 261 (1967). While *Volkswagenwerk* focused on a labor-related agreement between the Pacific Maritime Association and the International Longshore and Warehouse Union, the Court addressed the broader question of whether such an agreement was enforceable even though no agreement was filed with the Commission. The FMC took the position that no filing was required because the agreement at issue to create a fund to mitigate the impact of technology on labor did not affect competition. The Supreme Court disagreed with this interpretation, stating that limiting Section 15 to only CWAs that affect competition does not square with the structure of the statute and would render meaningless the other six categories of agreements referenced by the agreements section. *Id.* at 275.

In accord with the Supreme Court's interpretation of Section 15 of the Act, the FMC has also broadly construed the scope of CWAs. In *United Stevedoring Corp. v. Boston Shipping Ass'n*, 15 FMC 33, 45 (1971), the FMC held:

It is not possible to lay down any hard and fast rules concerning the filing of an agreement within the category of "cooperative working arrangements." Whether an agreement must be filed would depend upon the facts and circumstances under which the agreement came into being and the aims and purposes expressed therein. The Shipping Act was formulated in order to regulate carriers by water engaged in ocean transportation. Thus, any cooperative working arrangement dealing with or pertaining to ocean transportation and encompassed within the scope of the Shipping Act is an agreement subject to the Commission's authority.

In *Boston Shipping Ass'n*, the FMC held that agreements among the members of the Boston Shipping Association and the International Longshoremen's Association to allocate stevedoring gangs at the Port of Boston and provide stevedores "first call" and "recall" rights constituted a CWA because they regulate competition among the various stevedores and thus relate to the general scope of the Commission's authority in the Act. *Id.* at 44-45.

Similarly, in *Prudential Lines, Inc. v. Farrell Lines, Inc. et al.*, 26 F.M.C. 497, 509 (1984), the Commission held that a non-exclusive transshipment arrangement qualified as a CWA, emphasizing the broad scope of Section 15 and rejecting the argument that an agreement does not need to be filed if it confers no special privileges or advantages, is non-exclusive and does not have an anti-competitive effect. The FMC held "one determines whether an agreement falls within the scope of Section 15 by evaluating that agreement under the seven categories set forth in that law and not by determining that the agreement is anti-competitive or violates antitrust laws, etc." *Id.* at 520.

In other contexts, the FMC has likewise confirmed its broad interpretation of the term CWA, and that the coverage of the term relates to the scope of the Commission's general authority in the Act, i.e., dealing with or pertaining to ocean transportation. *See, e.g., R.O. White & Co. and Ceres Marine Terminals, Inc. v. Port of Miami Terminal Operating Co.*, 2009 FMC LEXIS 31, *77, n. 35 (holding an

agreement by marine terminal operators to pool their resources to form a single terminal, which they operate jointly, to be a CWA); *In re Consolidated Forwarders Intermodal Corp.*, 21 FMC 553 (holding an agreement to form and operate a freight consolidation service is sufficiently related to the parties' Shipping Act operations to be within the Commission's Section 15 jurisdiction); *General Transpac System – Possible Violations of Sec. 15 of Shipping Act, 1916*, 25 FMC 269 (1982) (holding an agreement between two common carriers whereby one assumes responsibility for, conducts the operations of, and reaps profit from the other, is a CWA).

IV. The *Seatrain Lines* Cases Support Commission Jurisdiction Over the WSC Agreement

Although courts and the FMC have broadly interpreted the potential scope of CWAs, courts have also clarified certain types of agreements that are not encompassed within CWAs as set forth in the Act. In the Order, the Commission makes numerous references to the D.C. Circuit and the Supreme Court's decisions in *Federal Maritime Commission v. Seatrain Lines, Inc.*, asserting these cases support its conclusion that the FMC might not have jurisdiction over the Agreement. Order at 7-10 (citing *Federal Maritime Commission v. Seatrain Lines, Inc.*, 411 U.S. 726 (1973) and *Seatrain Lines v. Federal Maritime Commission*, 460 F.2d 932 (D.C. Cir. 1972)). The factual elements in this line of cases are, however, entirely distinguishable from the Agreement and the conclusions drawn in these decisions in fact support the Commission's jurisdiction over the Agreement. Most notably, the *Seatrain Lines* cases primarily address whether an agreement is "continuing in nature," for purposes of determining the Commission's jurisdiction, which is a test that the Agreement certainly passes.

The agreement at issue in *Seatrain Lines* was an acquisition by one carrier (Pacific Far East Lines) of all of the assets of another (Oceanic). Included in the sale of these assets were transfers of all personnel and shoreside equipment. The Commission correctly states that the D.C. Circuit noted that the category of agreements described in 46 U.S.C. § 40301(a)(5) was "intended merely to summarize the type of

agreements covered ... and not to include those of an entirely different nature.” *Seatrains Lines*, 460 F.2d at 935. By “different nature,” the Court’s analysis and decision in this case did not turn on the substantive authorities in the particular agreement, but rather on whether the Commission’s jurisdiction could extend only to agreements “which of necessity imply the continued existence of the parties and their participation in such agreements over time.” *Id.* at 426-427. In reviewing the “type” and “nature” of the other categories of agreements expressly listed in Section 15, the D.C. Circuit held that it was Congress’s intent to only vest the Commission with jurisdiction over agreements *of a continuing nature*, and the acquisition of assets of one common carrier by another was not such an agreement. *Id.* at 430-431.

Moreover, while the Commission is correct that the D.C. Circuit considered the issue of the antitrust immunity afforded to agreements filed with the Commission pursuant to the Act, such consideration related to the specific circumstances of a merger agreement with no continuing nature. There, the Court held that it would be “highly unlikely” for it to be intended that such agreement receives an exemption from the antitrust laws via Section 15 of the Act in light of the scrutiny that mergers and acquisitions receive under Section 7 of the Clayton Act. *Id.* at 429.

Given the Commission’s apparent reliance on this case regarding the scope of agreements captured by CWAs, and the antitrust immunity that is afforded to such agreements under the Act, it is also worth pointing out that the Commission, in seeking to assert jurisdiction over the merger agreement in that case, did not argue that the agreement was a CWA under 46 U.S.C. § 40301(a)(5). Instead, the Commission argued it was an agreement to “control, regulate, or prevent competition in international ocean transportation.” 46 U.S.C. § 40301(a)(6). But again, the D.C. Circuit held that the agreement’s lack of a continuing nature precluded the Commission’s jurisdiction over this agreement under that provision of the Act as well. The Supreme Court agreed, noting that “[n]one of the seven categories [in Section 15] refers to a one-time merger or acquisition of assets which imposes no continuing obligation, and which, indeed,

effectively destroys one of the parties to the agreement.” *Seatrains Lines*, 411 U.S. at 732. As it relates to antitrust immunity, the Supreme Court stated in response to the Commission “vigorously arguing that such agreements can be interpreted as falling within [46 U.S.C. § 40301(a)(6)], that “[w]ithout more, we might be inclined to agree that many merger agreements probably fit within this category.” But, for the reasons expressed by the D.C. Circuit regarding existing antitrust scrutiny over merger agreements under the Clayton Act, “a broad reading of [46 U.S.C. § 40301(a)(6)] would conflict with our frequently expressed view that exemptions from antitrust laws are strictly construed.” *Id.*

Thus, these cases do not alter in any way the judicial or Commission precedent that CWAs are interpreted broadly. They simply note the cooperation must be of a continuing nature for the Commission to have jurisdiction, and focus on other issues unrelated to the Agreement such as a one-time merger. As discussed below, the types of cooperation contained in the Agreement are ones of a continuing nature, unlike the merger agreement analyzed in the *Seatrains Lines* decisions, and the Commission does not dispute this fact in the Order.

V. Background on the World Shipping Council

Against this backdrop of how the Commission’s jurisdiction over CWAs has historically been interpreted broadly by courts and the Commission, WSC provides below a summary of its organization and the decisions that led to its filing the Agreement as a CWA in 2020.

WSC is a trade association that was formed in 2000. Broadly speaking, it handles public policy, legal, regulatory, environmental, and safety and security matters on behalf of its ocean carrier members, some of which operate in U.S. trades and others which do not. WSC is a registered District of Columbia non-profit corporation, and its Articles of Incorporation are filed with the D.C. Department of Consumer and Regulatory Affairs. WSC has bylaws that govern its activities, committees with representatives of member companies that handle various functions,

and a Board of Directors that is tasked with the ultimate decision-making authority for the association. WSC's bylaws are attached as an Exhibit to its Agreement.

Between 2000-2020, WSC did not file an agreement with the FMC because its activities during this period did not fall within any of the above seven categories that required filing, and thus those activities were not subject to FMC jurisdiction. During this time, as the Commission notes in the Order, WSC's primary focus was to interface with governments and non-governmental entities and policymakers and advocate on matters of interest to the ocean carrier industry. The Commission appears to agree with WSC's assessment when it confirms in the Order that an agreement engaged *only* in trade association advocacy, such as WSC prior to 2020, as opposed to also engaging in other activities dealing with or pertaining to ocean transportation covered by the Shipping Act, would not qualify as a CWA. Order at 9.

VI. WSC Agreement Filing

In 2020, WSC's members decided to make fundamental changes to WSC's structure and substantive scope. Regarding its structure, WSC decided to expand its Board of Directors, such that any member of the WSC may join the WSC Board. Per a WSC press release issued on October 1, 2020, "the expanded Board of Directors is designed to encourage engagement by all members in the decisions that shape the organization's policy positions." Exhibit A.

WSC also decided to create three subject matter councils: (1) environment and climate, (2) safety and security, and (3) industry structure. These subject matter councils are all comprised of member representatives that work with the WSC staff to "coordinate programs, policies, regulatory initiatives, public positions of [WSC], and other actions to fulfill the purposes of the corporation." WSC Bylaws, Article Seven, Section 2(b).

WSC members decided that the work of these subject matter councils, as supervised by the Board of Directors, should focus on the following areas: (1) environment and climate (e.g., greenhouse gases, sulfur oxide, development and/or use of alternative vessel fuels and energy-efficient technologies, plastics at sea, ship recycling, cold ironing, ballast water, and wildlife protection), (2) legal and regulatory (e.g., economic regulations, competition compliance, exemptions, customs), (3) international trade matters (logistics, supply chain, port and terminal issues, canal operations, impacts of tariffs and taxes on vessel operations), and (4) safety and security (e.g., issues relating to the screening, inspection, stowage and handling of dangerous cargo, piracy, vessel crew health and safety, counter-illicit trafficking, and pest contamination).

A. WSC's Contemplated Expansions Into Cooperative Working Agreement Activities.

While WSC previously addressed some (but not all) of these matters, it did so only in an advocacy capacity, i.e., interfacing with governments to educate them on these issues and encouraging them to adopt or repeal laws, regulations, and other guidance involving these issues. The members did not, however, cooperate among themselves within WSC with respect to any of these matters. The contemplated substantive expansion, on the other hand, was intended to go beyond traditional trade association advocacy, enabling WSC members to directly cooperate among themselves within these areas (including discussion, information exchange, and the adoption of voluntary non-binding guidelines and/or best practices), where they believed there was no or inadequate government regulation. This includes, for example:

- Development of a common screening and inspection tool and other best practices relating to packing, stowage, handling, and transport of dangerous goods cargoes.

- Development of best practices relating to vessel operations and transit routes in high risk (i.e., piracy) and environmentally sensitive areas such as the Arctic or environmentally protected shipping lanes for the marine environment.
- Development of operational best practices in response to U.S. and international regulation of ocean transportation, including the identification of methodologies for reducing greenhouse gas emissions while ensuring a reliable production of new, lower intensity fuels on a global basis.
- Coordination with U.S. federal and state governmental entities relating to environmental standards (i.e., Nitrous Oxide emissions) as relates to vessel berthing times, onshore power requirements, and vessels transiting in voluntary or mandatory speed reduction zones.
- Coordination on practices to establish greater security standards and cohesion among ocean carriers, other transportation parties (i.e., rail carriers), and U.S. governmental authorities (i.e., Customs and Border Protection) to prevent illicit trafficking of drugs, wildlife, or persons.
- Establishing fact-based studies and practices to reduce containers lost overboard during vessel operations, which result in safety and environmental hazards in the marine environment.
- Identifying methods and practices throughout the ocean transportation supply chain to ensure container cleanliness and the removal of pests or other invasive species that could create harm to persons or cargo.
- Navigating and responding to real-time regional and global conflicts and issues that directly affect the ability to safely and efficiently transport cargo on international trade

lanes, including to the United States (i.e., transits in the Panama Canal during drought periods, identifying security risks during regional conflicts in the Middle East, and facilitating rapid response to piracy in the Gulf of Guinea and other high risk sea lanes).

WSC has since engaged in all of the above activities under the Agreement. Unlike trade association advocacy activities, these cooperative activities are inextricably intertwined with operational issues in international ocean shipping that are within the scope of the Act.

As stated by then President and CEO of WSC John Butler in an article following filing of the Agreement (Exhibit B):

“Our work in the past has focused on our interactions with governments and international organizations on policy and regulatory initiatives, and that will remain the case in the future,” he added. “There may be situations in which governments are unable to drive solutions, however, and in those cases, we may want to look at how the industry can work together to tackle these challenges.”

* * *

“We are filing the agreement at this point to make sure that we have access to the appropriate tools to meet the industry’s challenges and out of an abundance of caution to make sure that we are in full compliance with the U.S. Shipping Act.”

B. WSC’s Filing of the Agreement and Discussions with the Commission.

As a result of this decision to expand its substantive scope beyond trade association advocacy and into direct operational cooperation among WSC members on numerous items within the scope of the Shipping Act that pertain to ocean transportation, WSC made the decision to file its Agreement with the FMC. Prior to the Agreement filing, WSC’s President and CEO (J. Butler) met with each of the Commissioners to discuss the Agreement, and each Commissioner

supported the filing. Three of these Commissioners who supported WSC’s filing the Agreement in 2020 remained at the Commission when the Order was served, and two remain there today.²

Following these meetings, the Agreement was filed on October 1, 2020, which triggered a 45-day review. 46 C.F.R. § 535.604. After the “preliminary review” required by the Act, the Commission did not reject the Agreement on the basis of non-compliance with form or content, or raise any jurisdictional questions or concerns.

As part of the Agreement, WSC was transparent with the Commission that it would continue to perform trade association functions separate from any CWA activities including “certain public policy activities and initiatives on behalf of its members that are constitutionally protected and exempt from U.S. antitrust laws under the decisions in *Noerr-Pennington* and its progeny.” Agreement at Article 6. As communicated to and agreed with the Commission at the time of filing, these trade association advocacy activities would not be subject to the Act. Nevertheless, given the Act’s requirements that parties file “the complete, present understanding of the parties and ... the specific authorities and conditions under which the parties to the agreement will conduct their operations.” 46 C.F.R. § 535.402, WSC’s complete Agreement made clear that its activities as a whole would include both trade association and CWA activities, the latter of which would be subject to the Act and Commission jurisdiction, thus triggering the requirement that an agreement be filed.

C. The Commission’s Contemporaneous Review of the Agreement.

During the 45-day review period under the Act, the Commission staff asked WSC a number of questions relating to the Agreement filing. Exhibit C. The Commission did not raise

² After being appointed to the role of Chairman by President Trump on January 20, 2025, Mr. Sola departed the Commission effective July 1, 2025.

any specific questions regarding its jurisdiction over the filed Agreement at this time. Rather, on October 9, 2020, the Commission staff sent the following questions to WSC's external counsel for discussion:

- Why are the parties filing WSC as an agreement with the FMC at this time? What has changed? What is different about the structure and functions of the proposed WSC agreement than the current WSC?
- What is the distinction in the authorities of the proposed agreement and the ICCO (Box Club) agreement? Would the ICCO agreement be terminated if the proposed agreement were allowed to take effect? Would functions of the ICCO agreement be included in the structure of the proposed agreement? And if so, what functions?
- What types of information would be exchanged under the proposed WSC agreement? Does this include costs information, and if so, what costs information? What types of shipper information would be exchanged or discussed under the proposed agreement? Would this exchange of information be voluntary on the parties, and would parties be free not to exchange information on any matter addressed under the proposed agreement?

Id.

In response to these questions, WSC and Commission staff held a meeting on October 16, 2020. During that meeting, WSC explained the reason for the new focus on operational cooperation among its members was to fill gaps left by lack of government regulations in certain areas. WSC explained that its Agreement was wholly separate from the ICCO agreement (another CWA that was on file with the Commission). In terms of information exchange, WSC referred the Commission to its filed Agreement, explaining it anticipated exchanging information in a broad number of areas. Regarding costs and/or shipper information, WSC explained that this

would be limited to the authorities set forth in the Agreement, noting the Agreement did not authorize the members to share individual, commercially sensitive information. *See* Agreement, Para. 5.4.

Following this dialogue with the FMC, “by operation of statute, the Agreement went into effect on November 15, 2020,” as the Commission took no action to either contest its own jurisdiction over the Agreement, or otherwise to seek to enjoin the Agreement’s effectiveness in court. *See* Order at 3.

VII. Amendments to WSC’s Agreement and the Commission’s Request for Additional Information

Since November 2020, WSC has amended its FMC Agreement five times, four prior to the Order being served and a fifth shortly after service of the Order (as set forth below). The Commission never raised any concerns regarding its jurisdiction over the WSC Agreement during the applicable statutory waiting periods for the Amendments.

- Amendment 1 (filed Dec. 1, 2020 and effective Jan. 15, 2021): Adds Matson Navigation Company, Inc. as a party to the Agreement. The Commission issued no questions to WSC during the 45-day review period.
- Amendment 2 (filed Feb. 2, 2022 and effective March 19, 2022): Adds Swire Shipping Pte. Ltd. as a party to the Agreement. The Commission issued no questions to WSC during the 45-day review period.
- Amendment 3 (filed May 17, 2023 and effective Sept. 12, 2023): Authorizes development and creation of tools and processes relating to cargo screening for dangerous cargo. Further discussion of the Commission’s Request for Additional Information is set forth below for Amendment 3.

- Amendment 4 (filed Nov. 5, 2024 and effective Dec. 20, 2024): Revises and updates WSC's Bylaws, including the formation of a new subject matter council relating to communications. The Commission issued no questions to WSC during the 45-day review period.
- Amendment 5 (filed Aug. 1, 2025): Adds Emirates Shipping Line FZE as a party to the Agreement. The Commission has not issued any questions to WSC at the time of filing this response.

Amendment No. 3 to the WSC Agreement was filed on May 17, 2023. This amendment provided authorization for the development and creation of tools and processes to enhance cargo screening efforts by WSC members to reduce safety risks to crews, vessels, cargo, and the marine environment resulting from undeclared or non-compliant dangerous goods. The Amendment permitted WSC members to agree upon best practices regarding the screening of dangerous goods cargo, establish and administer a common digital screening solution through a third party, and create and maintain certain databases of shippers and inspection companies that meet minimum safety standards. On June 21, 2023, the FMC issued a Request for Additional Information relating to Amendment No. 3 seeking information on matters such as:

- The solicitation process for determining a third-party to develop the common third-party screening tool.
- Alignment of the contemplated screening tool with a prior WSC whitepaper entitled *Common Dangerous Goods Approach to Better Safeguard Our People, Our Oceans, Our Cargo, and Our Assets*.

- The contours of the screening tool, including requirements for screening cargo, notification processes, and the flow of information relating to any notifications relating to dangerous goods cargoes.
- Development of the screening tool and related databases, and ensuring data security for all information transmitted pursuant to the new program.
- Addressing any potential impacts to other ocean transportation parties such as shippers, beneficial cargo owners, and non-vessel operating common carriers.

The Request for Additional Information did not address the FMC's jurisdiction over the WSC Agreement.

On August 10, 2023, WSC provided its response to the Request for Additional Information, and Amendment No. 3 went into effect on September 12, 2023.

VIII. FMC Monitoring of WSC's Agreement

On January 12, 2021, the Commission sent a letter to WSC through its counsel prescribing certain reporting requirements on WSC pursuant to 46 C.F.R. § 535.702(d) ("First Monitoring Letter").

The First Monitoring Letter prescribes the following four categories of monitoring:

- (1) Minutes of all WSC meetings, including functional Council meetings, are required to be filed within 21 days after the conclusion of those meetings;
- (2) Copies of all information exchanged between the parties under the authorities in the FMC agreement must be filed;
- (3) Future changes to the WSC bylaws, which are attached to the filed FMC Agreement, must be filed as amendments to the FMC Agreement; and

(4) Representatives from WSC must attend semi-annual meetings with the FMC staff to discuss agreement activities.

Since the First Monitoring Letter requirements went into effect, WSC has filed 99 sets of minutes with the Commission, covering its Board of Directors and its subject matter council meetings. These include:

Board of Directors – 18 sets
Industry Structure Council – 29 sets
Environment and Climate Council – 21 sets
Safety and Security Council – 28 sets
Communications Council – 3 sets³

As noted above, when WSC’s bylaws were amended on November 5, 2024, changes to those bylaws were filed as an amendment to WSC’s FMC Agreement, and such changes went into effect on December 20, 2024. WSC has also participated in regular semi-annual meetings with FMC staff, most recently on April 2, 2025.

Following effectiveness of Amendment No. 3 to the Agreement, the Commission revised the First Monitoring Letter in a September 26, 2023 letter (the “Second Monitoring Letter”) relating to WSC’s development of the Cargo Safety Program. In the Second Monitoring Letter, the Commission required WSC and its members to provide certain information regarding development and implementation of the Cargo Safety Program including the following:

- The selected proposal from the third-party vendor (i.e., the National Cargo Bureau), a timeline for the development of the screening tool, and any changes to the screening tool.

³ The Communications Council was established following Amendment No. 4 to WSC’s Agreement.

- Notification of changes to any data sharing policies or minimum safety standards and the latest versions of databases developed for the Cargo Safety Program (i.e., a Shared Keywords Library for screening cargo).
- Minutes of all meetings where substantive discussions of these matters are held (i.e., within the Safety and Security Council and the Cargo Safety Program Advisory Group).
- Following implementation of the tool, the provision of raw data outputs, or acceptable aggregations of such data, relating to flags raised by the Cargo Safety Program screening tool and the outcomes of inspections related thereto.

WSC has since provided all meeting minutes of the Cargo Safety Program Advisory Group (14 meetings),⁴ formerly known as the Technical Group, wherein the Cargo Safety Program underwent development for final approval by the Safety and Security Council and Board of Directors (also cataloged in minutes submitted to the Commission). WSC also provided all information relating to the chosen vendor, the National Cargo Bureau,⁵ and data relating to the Cargo Safety Program's development and initial implementation, including provision of the relevant databases created for the Cargo Safety Program (i.e., Shared Keywords Library and Database of Approved Container Inspection Companies).

As relates to raw data output, WSC and the Commission continue to exchange information relating to the operation of the Cargo Safety Program, as implemented by the

⁴ WSC has provided 114 sets of minutes in total to the Commission pursuant to the First and Second Monitoring Letters.

⁵ The National Cargo Bureau is a non-profit corporation originally created to render assistance to the United States Coast Guard in discharging its responsibilities under the 1948 International Convention for Safety of Life at Sea and for other purposes closely related thereto. Additional information relating to the National Cargo Bureau may be found at: <https://natcargo.org/about-us/>.

National Cargo Bureau’s software, and the feasibility of providing reasonable aggregations on a quarterly basis to the Commission. The Commission has since received credentials to access aggregated and anonymized data on a real-time basis relating to the Cargo Safety Program. WSC and the Commission also remain in dialogue regarding implementation of remaining features contemplated by the Cargo Safety Program, which includes analytics and reporting of significant incidents causing harm to crewmembers and cargoes as well as identifying potential unscrupulous parties responsible for such incidents.

IX. The Agreement is “Continuous in Nature” As Shown by the Commission’s Ongoing Monitoring, and Therefore Meets the Requirements Set Forth in the *Seatrain Lines* Decisions

In the Order, the Commission cites the *Seatrain Lines* decisions for support that the FMC might not have jurisdiction over the Agreement. *See* Order at 7-10. However, WSC believes the D.C. Circuit and the Supreme Court’s findings with respect to the continuing oversight role over CWAs are instructive to the jurisdictional analysis and in fact support the Commission’s jurisdiction over the Agreement. In particular, the D.C. Circuit found “Section 15 embodied . . . ‘arrangements’ [Congress] had considered were to be placed under government ‘supervision and control.’” *Seatrain Lines*, 460 F.2d at 940. And, relating to antitrust immunity, while the Court found that Congress recognized a “measure of competition might have to be sacrificed” (referring to agreements dealing with rates or pooling of earnings), Congress nonetheless “preserved ample room for competition in a variety of areas other than rates, especially those which relate to the *quality of service* provided by the steamship lines,” and not just the services themselves. *Id.* (emphasis added). According to the D.C. Circuit, the trade-off for providing such rate and non-rate cooperative agreements with “limited antitrust immunity” was subjecting those agreements to the Commission’s specialized regulatory oversight, noting in particular that the Commission retained the authority to cancel or modify any such agreements in the event anti-competitive issues needed to be addressed. *Id.* at 432-433.

The D.C. Circuit held that Congress granted the Commission jurisdiction over a wide range of agreements “on the basis of its recognition of industry needs and the helpfulness of government regulation.” *Id.* at 438.

The Supreme Court agreed with this interpretation, noting that “Congress intended to vest the Commission with jurisdiction over only those agreements, or those portions of agreements, which created ongoing rights and responsibilities and which, therefore, necessitated continuous Commission supervision.” *Seatrains Lines*, 411 U.S. at 729. The Supreme Court ruled that, when reading the words of Section 15, “the context makes undeniably clear the ongoing, supervisory role which the Commission was intended to perform.” *Id.* at 736.

The Commission has to date clearly adopted the view that the Agreement necessitates ongoing specialized regulatory oversight, which further distinguishes it from the type of agreement the Commission was found not to have jurisdiction over in *Seatrains Lines*.

X. The Agreement Satisfies Both Jurisdictional Criteria Set Forth in *Foreign-to-Foreign Agreements-Exemption*

With this background of Commission and judicial precedent broadly interpreting the definition of CWAs, the history of the Agreement that led WSC to conclude that its cooperative activities starting in 2020 would trigger the Act’s filing requirements as a CWA, and the FMC’s ongoing review and monitoring of such cooperative activities undertaken pursuant to the Agreement, WSC now addresses certain points and key authorities referenced in the Order regarding its jurisdiction over the Agreement.

The Commission states that its prior precedent in *Foreign-to-Foreign Agreements—Exemption*, FMC No. 87-24, 1989 FMC LEXIS 19 (FMC Oct. 11, 1989) establishes two criteria to determine if an agreement is within the Commission’s jurisdiction under 46 U.S.C. § 40301(a): “the agreement (1) must be between or among ocean common carriers acting in their regulated capacity, and (2) must authorize or concern one or more of the qualifying activities referenced in the statute.” Order at 5 (citing *Foreign-to-Foreign Agreements—Exemption* at *24-

25).

In setting out its examination of jurisdiction in its Order, the Commission at certain points agrees that it should interpret the relevant statutory provision broadly. *See* Order at 9 (stating “the language of § 40301(a)(5) is broad on its face.”). This broader reading echoes the precedent it cites throughout the Order. *See Foreign-to-Foreign Agreements—Exemption* at *25 (stating that the a “liberal approach is justified by the statutory language and by pre-1984 Act precedent.”). Elsewhere in the Order, however, the Commission’s jurisdictional conclusions would seem to deviate from this precedent when it discusses how entities must be acting in their “regulated capacity,” suggesting a much narrower analysis that agreement parties must reach binding agreements on operational matters or otherwise engage in rate discussions, revenue pooling, or conducting vessel operations in order for the Commission to have jurisdiction. *See* Order at 1-3 (stating the Agreement “categorically does not involve the commercial operations of ocean common carriers.”). Neither the Act nor the precedent cited by the Commission in the Order requires or suggests such a narrow interpretation. WSC addresses this precedent below.

Regarding the *Foreign-to-Foreign Agreements—Exemption* case, WSC agrees with the Commission that § 40301(a) requires parties to an agreement to be both regulated by the Act *and* engaged in activities referenced in the statute itself. Such assessment would naturally involve an examination into whether the activities authorized under and carried out by the parties through the Agreement relate to matters regulated by the Act or, to use the Commission’s phrasing, relate to “ocean transportation activities.” Under this formulation, which aligns with the statutory text and the Commission’s precedent, the Agreement meets this test.

A. The Commission’s Cited Authority Does Not Support its Restrictive Interpretation of Parties Acting in Their “Regulated Capacity” for Purposes of Jurisdiction Pursuant to 46 U.S.C. § 40301(a).

The Order sets forth that the first prong of the Commission’s examination is whether the “activities and entities ... are regulated under the Shipping Act” and that “[t]he more attenuated the relationship is between carriers’ core activities involving handling, storing, or transporting cargo and the activities at issue, the less likely they are to fall under the Shipping Act.” Order at 6. While neither *Foreign-to-Foreign Agreements—Exemption* or *Crocus Investments* support this specific formulation, and the Commission does not otherwise state where this formulation generates from, WSC believes both decisions actually support that the Agreement fits precisely within the Commission’s jurisdiction.

In *Foreign-to-Foreign Agreements—Exemption*, the Commission withdrew proposed regulations that would have permitted ocean carriers to file agreements governing transportation between foreign countries. The Commission concluded that such agreements fall outside of the Act and there was no legislative history that indicated Congress meant to leave a voluntary option available for such carriers when it excepted all foreign-to-foreign agreements from the Act’s mandatory filing requirements. *Foreign-to-Foreign Agreements—Exemption*, at *1.

In applying the first criterion of the jurisdictional test, the Commission in that case did not broadly require the carriers in question to be “acting in their regulated capacity” pursuant to its agreement. Instead, the Commission applied a *geographic* test to see if the carriers that were parties to those agreements in fact qualified as “common carriers” as defined by the Act, namely whether the agreement contained “two or more persons holding themselves out to the general public to provide transportation by water of passengers or cargo *between the United States and a foreign country*.” *Id.* at *7 (internal citations omitted) (emphasis added). To the extent that

parties to any agreement were only providing foreign-to-foreign transportation, the Commission held that they did not qualify as common carriers, and therefore did not meet the jurisdictional test.

According to the Commission in *Foreign-to-Foreign Agreements-Exemption*, “there must be some *geographic limit* to the Commission’s authority to accept carrier agreements pursuant to the 1984 Act’s program of regulation in exchange for antitrust immunity,” and that “Congress provided that limitation in the Act’s definition of “common carrier” and the employment of the definition in Section 4(a).” *Id.* at * 23 (emphasis added). The Commission held that allowing ocean carriers to file agreements governing transportation exclusively between foreign countries would have the Commission “read common carrier” out of § 40301(a) and, “[g]iven the broad language of the activities” in that provision, “such an approach would leave the Commission’s jurisdiction literally without limits; for example it would extend to all agreements concerning ‘international ocean transportation,’ whether the parties had any U.S. services or not.” *Id.* at *28.

Similarly, the Commission cites to *Crocus Investments, LLC v. Marine Transport Logistics*, Docket No. 15-04, 2019 WL 4734299 to support its reading that the first prong in the *Foreign-to-Foreign Agreements—Exemption* test requires the parties to any agreement must act in their “regulated capacity” in order for the Commission to have jurisdiction over that agreement. Order at 6 (“Under the first prong, the Commission’s authority is limited to activities and entities that are regulated under the Shipping Act.”). But *Crocus Investments* did not even involve the statutory provision relevant to CWAs, 46 U.S.C § 40301(a), but rather addresses the Commission’s non-agreement jurisdiction over regulated entities pursuant to alleged conduct between commercial parties. In *Crocus Investments*, the Commission evaluated whether it had jurisdiction with respect to an ocean transportation intermediary’s alleged conduct, which

concerned transactions of vessels occurring overseas. The Commission upheld dismissal for lack of jurisdiction due to the lack of a nexus to the Act because the parties in question were not engaged in activities relating to the U.S. trade. *See Crocus Investments, LLC*, at *7 (“There must also be a link between the respondents’ regulated status and the conduct that allegedly violates the Shipping Act.”).

Thus, *Foreign-to-Foreign Agreements—Exemption* and *Crocus Investments* do not stand for the proposition that § 40301(a) requires agreement parties to act in their “regulated capacity,” but only that the parties to the Agreement must be regulated by the Commission itself (i.e., an ocean common carrier acting in the U.S. trades) for the Commission to have jurisdiction. WSC’s members unequivocally meet this requirement.

B. The Agreement Satisfies the Jurisdictional Requirements in § 40301(a).

The Agreement plainly meets the elements necessary for jurisdiction pursuant to § 40301(a), as set forth under the two-prong test in *Foreign-to-Foreign Agreements—Exemption*.

First, there is no question that the participating parties to the Agreement each qualify as a “common carrier,” as defined by the Act i.e., holding themselves “out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country.” 46 U.S.C. § 40102(7). WSC’s FMC Agreement contains 20⁶ parties, and each of those parties are duly registered with the Commission as Vessel Operating Common Carriers (“VOCCs”), a list of which is publicly available on the Commission’s website. Federal Maritime Commission, Vessel Operating Common Carriers.⁷ Per Article 3, Section 8 of the WSC Bylaws, “members that are ocean common carriers within the meaning of the U.S. Shipping Act, as

⁶ This includes Emirates Shipping Line FZE.

⁷ Available at: <https://www2.fmc.gov/FMC1Users/scripts/ExtReports.asp?tariffClass=vocc>.

amended, shall be parties to the cooperative working agreement initiated by the corporation that will be filed with the Federal Maritime Commission.” The Agreement parties, therefore, are “regulated entities” for purposes of this jurisdictional assessment.

Second, the Agreement undoubtedly includes numerous cooperative activities relating to core ocean transportation services offered by the Agreement parties, therefore satisfying both that the Agreement parties are acting in their “regulated capacity” in the Agreement and engaging in a “cooperative working arrangement” as provided in the Act (i.e., the second prong of *Foreign-to-Foreign Agreements-Exemption*).

WSC agrees that Section 40301(a)(5) “cannot be so broad as to cover *any* kind of cooperation between or among ocean common carriers.” Order at 9. In this regard, WSC also agrees with the Commission that it is reasonable to examine whether an activity is entirely detached from an ocean carrier’s activities as it relates to ocean transportation services. *See* Order at 6 (“The more attenuated the relationship is between carriers’ core activities involving handling, storing, or transporting cargo and the activities at issue, the less likely they are to fall under the Shipping Act.”). For example, if two or more ocean carriers agreed to jointly open a restaurant, such activity is clearly not related to ocean carrier activities within the scope of the Act. If the same ocean carriers agreed to jointly open a rental car company for use by employees near a marine terminal, that activity would also not be a “regulated activity” under the Act. However, the activities contemplated, and actualized, by the Agreement directly bear on the parties’ core operations as ocean transportation service providers, including for the handling, storing, or transporting of cargo. Therefore, even under the Commission’s formulation evaluating the degree of attenuation between the Agreement activities and “core ocean transportation activities,” Order at 6, the Agreement still meets the jurisdictional requirements.

As discussed in Section VI.A, the activities contemplated by (and already carried out through) the Agreement directly relate to ocean transportation services offered by the Agreement parties, including as applied to the U.S. trades. For example:

- The creation of a common screening and inspection tool, and related best practices, for the stowage, handling, and transport of dangerous cargoes undoubtedly relates to the ocean transportation services offered by the Agreement parties. These types of cooperative activities go to the heart of the safety for crewmembers, cargoes, and vessels, and the broader impact of dangerous goods risks on the supply chain generally.
- The development and coordination of best practices for transiting high-risk or environmentally sensitive areas speaks directly to how the Agreement parties may consider routing cargo to ensure efficient, safe means of transport for the international supply chain, including as relates to goods moving to and from the United States.
- Establishing joint industry positions and coordination relating to environmental matters holds a direct line to the means by which goods are transported onboard vessels, including the use of newer, lower-emission fuels and establishment of trading corridors that will allow for greater production of such fuels.
- Establishing scientific, fact-based studies relating to matters such as containers lost at sea, potential pest contamination of containers, or other safety hazards go to the ability of ocean common carriers to securely transport cargo in an efficient, safe manner to the benefit of the supply chain.
- Coordinating with local, regional, national, and international law enforcement authorities and marine terminals to establish practices for reducing cargo theft further provides ocean transportation parties with better means of transport for their goods, as well as reducing

the overall threat environment in the ocean transportation system.

- Orchestrating public-private cooperation with U.S. Customs and Border Protection, as well as customs organizations globally, to combat the illegal trafficking of drugs and protected wildlife and prevent the illicit shipment of precursor chemicals. These efforts enhance United States and global customs authorities' illicit cargo targeting capabilities and provide insight into liner shipping operations previously unavailable to the government, with the goal of reducing the transport of cargo that would contaminate international supply chains.

To suggest that the activities discussed above as authorized by the Agreement do not relate to "ocean transportation services" represents a misreading of the Agreement (and the voluminous minutes provided to the Commission pursuant to its monitoring requirements), the Commission's own precedent, and the Act.

C. The Order's Narrow Interpretation of the Commission's Jurisdiction Would Have Significant Effects Beyond the Agreement.

If the Commission adopted the position that the cooperative activities undertaken by the parties pursuant to the Agreement do not relate to "ocean transportation services," the jurisdictional consequences of that decision beyond this Agreement would be quite significant. Taking just one of the types of cooperation listed above as an example, if an agreement among ocean common carriers within WSC to adopt common standards, tools, and procedures for acceptance of dangerous goods does not fall within the Commission's agreement jurisdiction as a CWA because the Commission does not believe ocean common carriers are acting in their "regulated capacity" through such cooperation, then by correlation an individual ocean common carrier's standards, tools and procedures for the acceptance of such cargo adopted pursuant to such cooperation would also fall outside the scope of the Commission's jurisdiction. That would

mean that the Commission could not, for instance, request any reports relating to such practices under 46 U.S.C. § 40104. It would also mean there would be no jurisdictional basis to allege an unreasonable practice under the Act related to such standards, tools, or procedures.

Indeed, the Commission's own cases and its discussion in the Order about jurisdiction turn on whether the subject activity is generally within its jurisdiction, not just whether it is within its jurisdiction pursuant to § 40301. *Crocus Investments*, as discussed above, was a non-agreement decision. Thus, the Commission's "regulated activity" determination applies to both agreement and non-agreement jurisdictional questions. It would be an unusual result indeed for the Commission to find that an individual ocean carrier activity that is subject to the Shipping Act and the Commission's jurisdiction is not subject to the agreement filing requirements of the Shipping Act when discussed and/or undertaken by a group of two or more carriers. Thus, if the Commission determines the types of cooperation in the Agreement are not within its agreement jurisdiction because the carriers are not engaging in their regulated activity, then those activities are not within the Commission's jurisdiction at all.

XI. The Commission's Prior Positions and Other Agreements Further Support Jurisdiction Over the Agreement.

As noted above, the Commission's narrow interpretation of its jurisdiction represents a complete reversal from previously held positions that it has jurisdiction over a number of agreements "dealing with or pertaining to ocean transportation and encompassed within the scope of the Shipping Act." *Boston Shipping*, 15 FMC at 45 (1971). Indeed, according to previous Commission annual reports, it has accepted within its jurisdiction a number of non-rate and non-operational agreements. For example, the Commission described "non-rate discussion agreements ("NRDAs") as a category of agreements traditionally filed with the Commission, which "provide ocean common carriers a vehicle for discussing matters of mutual interest other

than rates. Typically, these agreements focus on macro-economic, regulatory, safety, and security issues.” Federal Maritime Commission, 49th Annual Report (Fiscal Year 2010) at 116. While these NRDAAs only account for a small percentage of the total agreements filed with the Commission, the annual report makes clear the Commission’s position that such agreements are within the Commission’s jurisdiction.

Like WSC, none of the NRDAAs as described in the Commission’s annual reports seemingly conduct any activities described in 46 U.S.C. § 40301(1), (2), (3), (4), (6), or (7). They would therefore appear to be within the Commission’s jurisdiction as CWAs pursuant to § 40301(a)(5). And, as the plain text of WSC’s Agreement demonstrates, the Agreement focuses on “regulatory, safety, and security issues,” (among several others) mirroring the Commission’s supportive language as relates to NRDAAs. WSC Agreement at Art. 5.1(a) (authorizing discussion of matters relating to “vessel operations in environmentally sensitive regions”); *id.* at Art. 5.1(b) (authorizing discussion of “legal and regulatory” matters related to the ocean transportation industry); *id.* at Art. 5.1(e) (authorizing discussion of “safety and security issues”). Furthermore, the examples of cooperative activities currently undertaken by WSC members under the Agreement today relate to the operations of ocean common carriers in the foreign commerce of the U.S. *Infra* at § VI (pages 11-12).

A review of the following sample list of CWAs currently on file with the FMC lends further support that to fall within this category of agreements, an agreement need only involve continuous cooperation among regulated entities “dealing with or pertaining to ocean transportation.”

- Cruise Line Industry Association (effective June 2, 1985; authorizing members to develop and agree on activities aimed at promoting safe and secure cruise ship

operations, represent members' interests in dealing with international regulatory organizations, and gather/distribute data for study and/or analysis regarding cruise industry economic information)

- Ocean Carrier Equipment Management Association (effective July 6, 1990; authorizing the parties to discuss, evaluate, and reach agreement with respect to matters pertaining to the interchange, transportation, use, and operation of carrier equipment in the United States).
- International Vessel Operators Dangerous Goods Association Agreement (effective August 9, 1990; authorizing advocating common positions before governmental and other bodies, and discussing, evaluating, and reaching agreements with respect to matters pertaining to all-water and intermodal transport of hazardous cargoes in the U.S. trades)
- Port of NY/NJ Sustainable Services Agreement (effective December 6, 2007; authorizing the discussion and potential agreement on matters relating to environmentally sensitive, efficient, and secure marine terminal operations)
- World Liner Data Agreement (effective December 4, 2010; authorizing the collection and exchange of trade information)
- Agreement by Ocean Common Carriers to Participate on the Exchange Board (effective December 2, 2017; authorizing certain ocean common carriers to participate in the governance and management of NYSHEX)
- Digital Container Shipping Association (effective March 14, 2019; authorizing the parties to discuss, develop, and adopt common technology standards relating to ocean transportation)

As demonstrated above, several of these agreements were filed and went into effect before the Agreement was filed, and they remain in effect today. The Commission's significantly narrower view of CWAs is thus not only contradicted by the Commission's own precedent and judicial review of that precedent, but also by the Commission's current and historical interpretation as applied to several other filed agreements.

XII. Antitrust Immunity Under the Shipping Act

WSC wishes to make a final point on antitrust immunity. The Act provides that the U.S. antitrust laws do not apply to "an agreement ... that has been filed and is effective under this chapter." 46 U.S.C. § 40307(a)(1). Moreover, the antitrust laws do not apply to "an agreement or activity ... undertaken or entered into with a reasonable basis to conclude that it is ... pursuant to an agreement on file with the Federal Maritime Commission and in effect when the activity takes place." 46 U.S.C. § 40307(a)(3)(A). Thus, if an activity is described in the filed or exempt agreement, or if the parties have a reasonable basis to conclude that an activity is being conducted pursuant to such an agreement, it is immune from the U.S. antitrust laws.

In WSC's view, the issue of parties filing an agreement with the Commission has to some extent been perceived as being tied solely to the benefit of antitrust immunity. This includes several trade reports published in response to the Commission's Order. *See, e.g.,* Nick Savvides, *FMC launches antitrust investigation into World Shipping Council*, Seatrade Maritime News, July 2, 2025; Stuart Chirls, *US maritime chief "not a big fan" of ocean carriers' "approach" as agency reviews antitrust immunity*, FreightWaves, June 30, 2025; Michael Angell, *FMC probes legal standing of World Shipping Council agreement*, Journal of Commerce, June 27, 2025. While WSC understands the Commission does not control what others write, given some of the discussion regarding antitrust immunity in the Order, WSC thinks it important to note that this is

a misreading of the statutory requirements in the Act. Whether an agreement must be filed with the Commission is not an optional strategic choice for the parties to make if they wish to obtain antitrust immunity for the activities contained therein. Rather, if an agreement is covered by the Act, it is required to be filed or face FMC civil penalties. As a consequence of that requirement, parties to the agreement enjoy limited antitrust immunity in the U.S. while becoming subject to the Commission's specialized monitoring, as discussed above.

Relating to WSC, according to a press release issued at the time of filing its Agreement, “[a]s part of its preparation for the next twenty years, WSC has also filed an agreement with the Federal Maritime Commission *to continue its policy of strict compliance with regulatory requirements everywhere WSC operates.*” Exhibit A. In other words, WSC filed the Agreement because the Act required it to do so. And, while WSC does not dispute the holdings in the cases cited by the Commission in the Order that exemptions from antitrust laws are to be narrowly construed, WSC believes it is important to point out that other than *Seatrains Lines*, the cases to which the Commission refers are not Shipping Act cases. *See United States v. McKesson & Robbins, Inc.*, 351 U.S. 305 (1956) (analyzing whether resale price arrangements should be exempt under the Miller-Tydings and McGuire Acts); *Group Life & Health Ins. Co. v. Royal Drug Co.*, 440 U.S. 205 (1979) (analyzing whether agreements between an insurance company and pharmacies were exempt under the McCarran-Ferguson Act). As to the *Seatrains Lines* cases, the D.C. Circuit makes the Commission's jurisdictional analysis under the Shipping Act quite clear, stating the “FMC has or does not have jurisdiction depending on its statutory grant,” and it is not “the complexity of the antitrust issues involved, which determines if the FMC has jurisdiction.” *Seatrains Lines*, 460 F.2d at 946.

It would seem that the Commission in the Order has potentially conflated two different legal standards as it relates to its jurisdiction over the Agreement. While courts have long held that antitrust immunity, generally speaking, must be narrowly construed, in the specific context of the Shipping Act, as demonstrated above, courts have likewise held that the categories of agreements that fall within CWAs are broad, notwithstanding that such agreements may be afforded antitrust immunity in exchange for being subject to the Act's requirements and specialized Commission oversight. WSC urges the Commission to use the correct standard when evaluating its jurisdiction over the Agreement.

Given the Commission and judicial precedent broadly interpreting the definition of CWAs, the effectiveness of the Agreement and subsequent amendments after filing, and the Commission's ongoing review and monitoring of the Agreement, all of WSC's activities since 2020 have, consistent with the Act, been undertaken or entered into with a reasonable basis to conclude that they were pursuant to an agreement on file with the Commission and in effect when the activities took place. *See* 46 U.S.C. § 40307(a)(3)(A).

Regardless, as demonstrated through both WSC's direct discussions with the Commission during its semiannual meetings and as noted on all minutes submitted to the Commission, as a global organization, WSC conducts all of its activities (including in the United States) in full compliance with relevant antitrust and competition laws, notwithstanding the limited antitrust immunity afforded to it pursuant to the Act. WSC has likewise been in full compliance with the Shipping Act.

XIII. Conclusion

As the foregoing demonstrates, in 2020 WSC's ocean carrier members sought to expand the scope of WSC's activities to include operational matters related to ocean transportation.

WSC assessed that these activities constituted cooperative working arrangements among ocean carriers, and filed its Agreement as required by the Act. The Commission supported WSC's filing at the time, and has since monitored the Agreement for nearly five years. During that time, WSC's members have continuously conducted the cooperative matters set forth in the Agreement, which relate to providing ocean transportation services.

The Commission's preliminary position expressed in its Order represents a narrower reading of its jurisdiction that departs from, and is not supported by, the Commission's long-standing precedent in this regard and judicial review of the Commission's jurisdiction.

Accordingly, WSC respectfully submits the Commission has jurisdiction over its Agreement.

Respectfully submitted,

A handwritten signature in blue ink, appearing to read "R. Magovern", with a stylized flourish at the end.

Robert K. Magovern
Matthew Howell
Rachel Schwartz

Counsel to World Shipping Council

Date: August 26, 2025